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Government of India
Ministry of Consumer Affairs, Food & Public Distribution

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Adequate Onion Availability; Government Undertakes Calibrated and Targeted Release of Buffer Stocks to Moderate Seasonal Price Pressures

The Government has commenced **calibrated and targeted release of onions from the buffer stock** to ensure adequate availability and moderate seasonal price pressures in the coming months. The intervention is being undertaken through a **hybrid model of transportation comprising railway rakes and road transport**, with supplies being directed to major consumption centres based on prevailing market conditions and price trends.

Adequate Onion Availability and Robust Production

Onion availability is comfortable to meet domestic demand in the coming months, supported by estimated production of **307.37 LMT in 2025-26**, broadly in line with the previous year's production of **307.67 LMT**. Robust production, availability of buffer stocks and proactive market interventions are expected to ensure adequate supplies and moderate seasonal price pressures in the coming months. In view of the comfortable production outlook, the Government fixed a procurement target of **2.00 LMT of Rabi onion** for the Price Stabilization Fund (PSF) buffer during 2026-27. The procurement operation commenced on **15 May 2026**, through NAFED and NCCF. Around **1.21 LMT of onions have been procured** for the buffer.

To strengthen storage management and operational efficiency, the **Central Warehousing Corporation (CWC)** has been engaged for the first time as the storage agency for the PSF onion buffer during 2026-27. With the onset of the festive season, including **Onam, Ganesh Chaturthi, Durga Puja, Dussehra, Diwali and the wedding season**, onion prices typically witness a seasonal uptick owing to higher demand and supply-chain factors.

Calibrated and Targeted Release of Buffer Onions

To ensure adequate availability and prevent undue price volatility, the Government has commenced **calibrated and targeted release of onions from the buffer stock**. The release of onions will take place through a **hybrid model of transportation comprising railway rakes and road transport**, enabling movement of onions to major consumption centres. The quantity, coverage and channels for release of onions will be further widened based on prevailing market conditions and price trends.

Onions to be Sold at ₹35 per kg

Retail sale of onions at **₹35 per kg** is to be launched through mobile vans and retail outlets of **NCCF and NAFED**, as well as through **Safal and Kendriya Bhandar outlets**. The retail sales will be carried out through:

- **NCCF:** 9 outlets and 40 mobile vans
- **NAFED:** 13 outlets and 50 mobile vans
- **Kendriya Bhandar:** About 100 outlets

The targeted retail intervention is aimed at ensuring availability of onions to consumers at an affordable price.

Kanda Express Strengthens Movement of Buffer Onions

The **Kanda Express initiative has emerged as an effective logistics intervention for moving buffer onions from producing regions to consumption centres**. During 2024-25, onion buffer stocks were transported through **14 railway rakes carrying nearly 12,000 MT of onions to five cities**. Operations during 2025-26 expanded substantially, with **86 railway rakes transporting around 88,000 MT of onions to 16 cities across the country**.

In the current financial year, transportation of onion consignments has begun through **Kanda Express from Nashik to New Delhi**. The first Kanda Express has left Nashik and is expected to reach Delhi NCR. Simultaneously, supplies are being moved through road transport to other major consumption centres, namely **Chennai, Kolkata, Ernakulam, Guwahati, Varanasi, Lucknow, Patna, Chandigarh, Jammu and Amritsar**. The hybrid transportation model will facilitate timely movement of buffer onions to consumption centres based on prevailing market requirements.



Onion Exports Continue to Remain Robust

Onion exports continue to remain robust. During **April-June 2026, exports stood at approximately 3.82 LMT**, with major destinations including **Malaysia, Sri Lanka, UAE and Nepal**, reflecting comfortable domestic availability.

Daily Monitoring Across 579 Centres

The Department of Consumer Affairs monitors the daily prices of **41 essential commodities, including onion, across 579 centres nationwide**. These market trends, along with arrivals and demand conditions, serve as key inputs for decisions on the scale and destinations of buffer stock releases. The Government is closely monitoring onion prices, arrivals and availability across States and will undertake further interventions, wherever necessary, to ensure adequate supplies and prevent unwarranted price increases.

Prices of Key Essential Commodities Remain Stable and Range Bound

The prices of key pulses including **Tur, Gram, Masur, Urad and Moong**, as well as essential vegetables such as **Tomato and Potato**, are currently stable and range bound.

The **All-India average monthly retail prices as on 26.08.2026** are as follows:

Commodity	All-India Average Monthly Retail Price
Tomato	₹38.33/kg
Potato	₹22.63/kg
Chana Dal	₹86.71/kg
Atta	₹40.48/kg
Tur Dal	₹123.30/kg
Milk	₹60.82/litre

Onion	**₹37.87/kg**

Notably, **Tomato, Potato and Chana Dal prices are lower than a year ago**.

Continuous Monitoring to Safeguard Consumer Interests

The Government remains committed to **protecting consumer interests while ensuring remunerative returns to farmers through a balanced and evidence-based price stabilisation approach**. The Government will continue to monitor onion prices, arrivals, availability and demand conditions closely. The scale, coverage and channels of buffer stock releases will be calibrated according to prevailing market conditions to ensure adequate supplies and moderate seasonal price pressures.

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